

Monetary Policy Strategy of the National Bank of Georgia

1. Objective of the Strategy

The Monetary Policy Strategy describes the main principles of monetary policy in Georgia and the directions of its development. According to the Organic Law of Georgia on the National Bank of Georgia, the main objective of the National Bank of Georgia (NBG) is to ensure price stability in the country. Low and stable inflation is necessary condition for macroeconomic stability, which is necessary to maintain high and sustainable economic growth, low interest rates and high employment rate. The more efficient monetary policy is the less costly as to achieve price stability. Correspondingly Central Banks always seek to increase of the efficiency of monetary policy. Accomplishing the NBG's Monetary Policy Strategy will improve the efficiency of monetary policy in Georgia.

2. Executive Summary

The monetary policy of the NBG relies on a regime of inflation targeting. The NBG sets its long-run inflation target at 3 percent. Taking into consideration that at present Georgia is an emerging market economy and that such economies are characterized with higher inflation and growth, the NBG has set an inflation target of 5 percent for the years 2015-2016, for 2017 - 4 percent and from 2018 - 3 percent. In the long run, as the Georgian economy converges to that of developed countries, the optimal inflation rate will gradually decline. Correspondingly, the inflation target of the NBG will decrease to its long-run level.

The inflation targeting regime requires the floating exchange rate regime given the free capital mobility (liberalized capital account). Under this regime the foreign exchange market is characterized by short-term fluctuations. These fluctuations tend to be even higher in small and open highly dollarized economies like Georgia, considering the modest foreign exchange market turnover and volatile capital flows. To smooth the excessive exchange rate volatility caused either by government or private sector operations, the NBG occasionally uses interventions on foreign exchange market by means of foreign exchange auctions. It is important to note that the NBG does not target any exchange rate level.

The efficiency of monetary policy has considerably improved after switching to inflation targeting. Since the activation of monetary policy instruments in April 2010, interest rate fluctuations have decreased on the market and GEL money markets have deepened. Money market development has enabled commercial banks to manage liquidity more efficiently and has made GEL resources more attractive for banks. Parallel to the increase in trust of the refinancing rate, commercial banks have started to offer loans denominated in GEL with floating interest rate, which has significantly improved transmission of monetary policy. As a consequence, the liability larization of commercial banks has increased considerably. Exchange rate policy reform in 2009 is important to mention as well, which implies that foreign exchange interventions will be implemented only by means of foreign exchange auctions that are based on market principles. FX auctions have significantly reduced the need for NBG interventions on the foreign exchange market. The exchange rate became unpredictable in the short run that removed speculative pressures from the exchange rate.

These measures have significantly enhanced the transmission of monetary policy to the real economy and its importance in achieving macroeconomic stability. The NBG will continue working on further strengthening of the monetary policy transmission mechanism.

3. Inflation Targeting Regime

The NBG switched to an inflation targeting regime in 2009. This regime implies the announcement of an inflation target in advance and management of policy instruments in a manner to achieve the target level in the medium term. Transparency and simplicity of communication represents one of the advantages of inflation targeting regime, because a predetermined single target enables NBG's main goal to be defined precisely and allows the formation of accurate expectations about the direction of monetary policy. The

inflation target is set annually for the following 3-year period by the NBG and is approved by the Parliament of Georgia. The main objective of the NBG – maintenance of price stability - is independent from other goals of the Government and this independence is ensured by the Constitution of Georgia and the Organic Law of Georgia on the National Bank of Georgia.

Like all other major central banks, the NBG uses short-term interest rates as its operational tool. Changes in short-term rates are further transmitted to long-term interest rates and reflected in the economy. Monetary transmission mechanism operates with a time lag, usually of around 4-6 quarters. Thus, changes in monetary policy instruments have an effect on future inflation. Therefore, for achieving price stability efficiently, forecasting inflation accurately is especially important.

The interest rate on refinancing loans represents the main instrument of the NBG to manage interest rates. The rate is determined by the Monetary Policy Committee and approved by the Governor. The refinancing (or monetary policy) interest rate is the minimum interest rate on one-week refinancing loans provided to commercial banks. In addition, the NBG uses other monetary policy instruments as well.

To conduct an efficient monetary policy, the NBG relies on multilateral economic analysis and macroeconomic modeling. Macroeconomic models represent an effective tool for forecasting, taking into account the endogeneity of monetary policy. The models generate sound forecasts, but also provide clear instructions on how to set monetary policy instruments to return inflation to the target.

4. Exchange Rate Regime

Georgia operates a floating exchange rate regime. Georgia is a small open economy, integrated with the world economy and does not share optimal currency area with partner countries. As a result, fluctuations in the world economy influence the Georgian economy. For small open economies, the floating exchange rate can play a shock absorbing role. During external shocks, changes in the exchange rate can weaken the influence of these shocks on real economy, and protect economic growth and inflation. Thus, the floating exchange rate regime is the most optimal for Georgia.

To support the FX market development, the NBG has implemented the exchange rate reform. The Tbilisi Interbank Foreign Exchange has been replaced by foreign exchange auctions that currently represent the sole instrument for intervention on the FX market. After introduction of this new instrument, the need for the NBG interventions on the foreign exchange market and the NBG's share in market turnover have both decreased considerably. This new policy has resulted in an increase in short-term exchange rate flexibility that is important feature of FX market. As a consequence, the exchange rate has become less predictable in the short-run, eliminating incentives for destabilizing speculation, and so improving the stability of the GEL in the long run. Foreign exchange policy of the NBG implies minimum intervention on the foreign exchange market. The main goal of FX auctions is to smooth out excessive short-term volatility in the exchange rate due to temporary surges in inflows or outflows of foreign capital and to partially balance the private and government FX financing gap. In the long run, the NBG intends to further reduce foreign exchange interventions and eventually to eliminate them.

5. Monetary Policy Efficiency

Switching to inflation targeting regime in 2009 was an important step toward improving monetary policy and enhancing its efficiency. Before inflation targeting, monetary policy was implemented under a monetary targeting regime which targeted a desired growth rate of the monetary base with the aim of controlling inflation. However, the previously stable relationship between what the NBG could control (monetary base) and the final objective (inflation) broke down over time. Therefore, monetary targeting became less efficient at fighting inflation and the need for a new regime evolved.

Level of larization in the economy is an important feature for making monetary policy more efficient and for strengthening monetary policy transmission to the real economy. To form a stable macroeconomic environment, the NBG constantly implements measures to encourage the usage of national currency. As a consequence, the larization level has increased and the efficiency of monetary policy has improved.

Along with the introduction of the inflation targeting regime, monetary policy instruments (refinancing loans, standing facilities, reserve requirements) were activated in 2010 to facilitate the growth of monetary policy efficiency. Introduction of refinancing instrument enabled commercial banks to manage liquidity better. Thus commercial banks are able to reduce their operational cost considerably, which gives them the opportunity to offer loans in national currency at lower interest rates. Differentiation of minimum reserve requirements by currency has also encouraged the attraction of resources in national currency. Moreover, reserve requirements in national currency are to be met by an average stock on correspondent accounts during a two-week maintenance period. Such a framework of reserve requirements reduces the burden of required reserves for commercial banks and makes GEL resources more attractive.

Deepening of money market in recent years has fostered the efficiency of the monetary policy transmission mechanism. Longer maturities and increased volume of treasury securities in circulation have played an important role in money market development. The NBG also undertook measures to lower credit and operational risks. In particular, the NBG has organized establishment of a trading platform in the Bloomberg system, where trading with securities and settlement is automated. Such a system reduces operational and transactional risks practically to zero. Against the background of GEL money market development, increased monetary policy predictability and other reforms, the interest rate, liquidity and operational risks were reduced. As a consequence, the interest rate differential between different maturities has declined and interest rates became more tightly correlated. This results in a better transmission of monetary policy rate to long-term interest rates.

Supporting the loans denominated in GEL with floating interest rate is important for enhancement of monetary policy efficiency. Popularization of this type of loan has supported disbursement of loans denominated in GEL, which has resulted in significant increase of loans larization. Despite of that, share of loans with variable interest rates is still very low in Georgia, while they are very popular in other developed and emerging economies. Such loans do not induce interest rate risks for commercial banks and allow them to reduce rates on these loans. They are also free from FX risks (like other GEL loans): this further decreases the debt service burden.

Along with the deepening of money market, introduction of new instruments on financial market is important for the enhancement of monetary policy efficiency. In line with the development of the market for government securities, the NBG will encourage the activation of private fixed income securities market. At the first stage, it is important to support the emission of GEL-denominated securities on the local market by international financial institutions. This type of instruments will be in great demand due to high confidence in the mentioned institutions. At the next stage of financial market development, the emission of corporate equity and debt securities can be encouraged.

6. Communication

Communication of its main tasks, policy decisions and undertaken measures represent one of the priorities for the NBG. By developing existing channels and introducing new means of communication, the NBG will be able to improve the credibility and to manage the inflation expectations that will lead to more efficient monetary policy. For this purpose, the NBG has revised the structure of its publications, renewed the monetary policy section of its official website and developed new strategy for communication. Besides, to ensure transparency of the NBG and to keep the public informed, information regarding the NBG decisions, monetary operations or FX interventions is published in the form of press releases in a timely manner. According to the new communication cycle, it is planned to hold press conferences once a quarter after the monetary policy committee meeting and have a meeting with analysts when publishing the Inflation Report. The press conference and the meeting represent an efficient tool of communication during which the NBG can introduce to the group of analysts the issues that were discussed at the Committee meeting and the justifications of the decision made. To enhance public awareness of the economy and the credibility of the National Bank of Georgia, for the future, it is also planned to continue a series of presentations and seminars regarding topics important to participants of financial market operations and other members of the society.